

III

DeFi INFRASTRUCTURE

In this chapter, we discuss the innovations that led to DeFi and lay out the terminology.

BLOCKCHAIN

The key to all DeFi is the decentralizing backbone: a blockchain. Fundamentally, blockchains are software protocols that allow multiple parties to operate under shared assumptions and data without trusting each other. These data can be anything, such as location and destination information of items in a supply chain or account balances of a token. Updates are packaged into “blocks” and are “chained” together cryptographically to allow an audit of the prior history – hence the name.